

AMIS 1012

Ethics in Computing



Chapter 4: Ethics of IT Organisation



Learning Objectives

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1. Describe the strategies for fostering ethical conduct as well as the regulations that promote ethical business operations.



Chapter Outline

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- Organisational ethics.
- Rules and Law of IT Organisation.
- Whistle Blowing and Corporate Accountability.
- Employers' responsibilities to Whistle Blowing.
- Information and Communications Technology Code of Conduct.
- Green Procurement Policy



4.1 Organisational Ethics

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- **Organisation ethics** - Refers to how an organization can react to the external world.
- **Organisational ethics** - Refers to a set of rules and standards that determine how employees can act in the workplace.
- In the business world, tampering with data is considered dishonest and unprofessional.



4.1 Organisational Ethics

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- Employees **should not divulge any of the company's confidential information to third parties.** Do not divulge any of the company's rules or recommendations to any one.
- It is preferable to **avoid debating official affairs with friends** and family. In no condition can classified details or information be leaked.
- In monetary transactions and all forms of trade, total justice is required. **Organizations are forbidden from discrimination against workers** depending on their identity, physical appearance, age, or family history.



4.1 Organisational Ethics

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- **Employees who are female must be handled with dignity.** Do not expect your female workers to work late. Discriminating against workers because they do not come from a rich family is immoral. Employees should be judged purely on the basis of their work.
- **Employees must not be used by the company.** Employees must be compensated for their contributions and hard work. When people are working late at night, make sure they are credited for their time. Employees must collect their arrears, salaries, incentives, and other reimbursements on schedule, according to administrators.





4.1 Organisational Ethics

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- **Employee protection must be prioritized by the company.** Individuals should not be placed in dangerous situations.
- **Making false claims to customers is unprofessional.** The substance must be distinctly represented in the advertising. Don't make any commitments that the business can't keep. To expect loyalty from your clients, you must be honest with them. It is completely dishonest to deceive your clients





4.2 Rules and Law of IT Organisation

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Rules and Law of IT Organisation in US

- The electronic protection laws and privacy structure in the United States are probably the world's largest, most comprehensive, and effective.
- The privacy mechanism in the state is more dependent on ad hoc government compliance and private prosecutions. Cyber security policy currently consists of executive branch guidelines and legislative law that covers information technology and data networks





4.2 Rules and Law of IT Organisation

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4.2 Rules and Law of IT Organisation

Rules and Law of IT Organisation in US – control by the federal government

Act	Description
Health Insurance Portability and Accountability Act (HIPAA) of 1996	These three rules require healthcare organizations, financial institutions, and government departments to safeguard their processes and Ethics of IT Organization data. These laws, however, are not foolproof in terms of data protection and only require a “fair” degree of security
Gramm– Leach–Bliley Act of 1999	
The Federal Information Security Management Act (FISMA) was included in the Homeland Security Act of 2002	



4.2 Rules and Law of IT Organisation

Rules and Law of IT Organisation in US – control by the federal government

Act	Description
Cybersecurity Information Sharing Act (CISA)	to strengthen cyber security in the United States through enhancing knowledge exchange regarding cyber security risks, among other things. The law mandates that the US government, as well as technology and manufacturing companies, share information about Internet traffic.
The 2014 Cybersecurity Improvement Act	It is a voluntary public–private collaboration that seeks to enhance cyber security by bolstering cyber security research and growth, talent development and education, and public knowledge and preparedness.
The 2015 Federal Exchange Data Breach Disclosure Act	This bill mandates that a health insurance exchange alert any customer whose personal information is known to have been obtained or accessed as a result in a security violation in any system operated by the exchange as soon as possible, but no later than 60 days after the breach is discovered.



4.2 Rules and Law of IT Organisation

Rules and Law of IT Organisation in other countries

Countries	Description
Australia and New Zealand	National freedom of information (FOI) laws was introduced as early as 1982 (prior to the recent round of FOI laws being adopted around the world), and then went on to amend their legislation to get their FOI regimes up to date.
China	Personal Information Protection Law ('PIPL') entered into effect on November 1, 2021, and is China's first comprehensive data protection law. The PIPL regulates the processing of personal information and protects an individual's rights and interests in relation to personal information. It stipulates that the processing of personal information must abide by the principles of legality, justice, integrity, minimum necessity, openness and transparency, and the purposes of processing shall be explicit and reasonable.



4.2 Rules and Law of IT Organisation

Rules and Law of IT Organisation in MALAYSIA

Countries	Description
Malaysia	WHISTLEBLOWERS PROTECTION ACT 2010 (Act 711) An act to promote disclosure of information about any corruption or other misconduct. The Act will provide protection to whistleblowers from any act prejudicial effect of disclosure has been made. Types of Protection • The identity of the informant and the information provided is kept confidential and not to be disclosed to anybody, even during the trial in court. • Whistleblowers should not be liable to any civil action, criminal or disciplinary consequences of such disclosure. • Whistleblowers are protected from any act prejudicial to the outcome of the reaction disclosures have been made. • Protection is also given to those who have connection / relationship with the informant.

4.3 Whistle Blowing and Corporate Accountability

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- **Whistle Blowing** - When a worker discloses facts about corruption. It is also called “making a disclosure” or “blowing the whistle”.
- Most of the time, corruption was something they saw at work. A worker who makes a leak must reasonably assume **two items** in order to be shielded by whistle-blowing legislation.
 - The first is that they are **behaving in the best interests of the group**.
 - The second rational assumption that a worker may have is that **the disclosure appears to indicate actual, present, or probable potential misconduct in one or more of the following categories:**





4.3 Whistle Blowing and Corporate Accountability

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- Illegal violations (financial impropriety, such as fraud, is one example)
 - Failure to comply with a lawful duty
 - Miscarriages of justice
 - Endangering someone's health and welfare
 - Environmental harm
 - Covering up misconduct throughout the aforementioned categories.
- The Employment Protection Act of 1996 includes rules on whistle blowing (as amended by the Public Interest Disclosure Act 1998).

4.3 Whistle Blowing and Corporate Accountability

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- If a person has been abused at work or has lost his or her career as a result of “blowing the whistle,” he or she has the right to take his or her complaint to an employment tribunal.



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4.3 Whistle Blowing and Corporate Accountability



- Whistle blowing **process**

Process	Description
Determine the severity of the situation	An individual should have clear evidence that his or her business or a coworker is behaving unethically and that the behavior poses a direct danger to the public interest before contemplating whistle blowing.
Begin the documentation process	When an employee notices a possible immoral or unethical activity, he or she should begin collecting ample evidence to prove misconduct. Incidents and facts, as well as the employee's perceptions of the situation, should be recorded.
Making an effort to fix the situation internally	An individual should try to resolve the issue internally by submitting a written summary to the relevant supervisors. Ideally, the employee would be able to identify the issue and address it from inside the company. The emphasis should be on revealing the truth as well as how the case impacts others.



4.3 Whistle Blowing and Corporate Accountability

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- Whistle blowing **process** (cont.)

Process	Description
Consider taking the situation to the next level inside the company	It's likely that an employee's first effort to cope with a problem internally would fail. At this point, the employee can rationalize by raising the problem that he or she has completed all of the necessary tasks. Others may feel pressured to take further action
Consider the implications of being a whistleblower	Whistle blowers must take a step back to consider whether they are willing to move ahead and blow the company's whistle. Depending on the circumstances, an employee may be forced to pay significant legal fees in order to file or pursue claims against a company or entity that has access to a wide range of legal services as well as significantly more money than the employee.



4.3 Whistle Blowing and Corporate Accountability

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- Whistle blowing **process** (cont.)

Process	Description
Develop an action plan with the help of experienced resources	A whistleblower should seek legal advice from a qualified attorney with expertise in whistle-blowing litigation. Based on the organization, employer, and state involved, as well as the type of the situation, he or she will decide which statutes and laws apply



4.3 Whistle Blowing and Corporate Accountability

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- Whistle blowing **process** (cont.)

Process	Description
Put the action plan into action	A whistleblower who wishes to take a lawsuit to court can do so by undertaking analysis and working with legal counsel. The best course of action for a whistleblower who wishes to stay confidential is to leak information to the press anonymously
Consequences must be accepted	Whistleblowers must be wary of retribution, such as being discredited by colleagues, being harassed, or being set up; For example, management might try to move, demote, or fire the whistleblower for violating a small law, such as arriving late to work or leaving early. Management can argue that such behavior has been going on for a long time in order to justify their acts. To combat such acts and pursue legal redress, the whistleblower should have a clear plan and a good solicitor.



4.3 Whistle Blowing and Corporate Accountability

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- A **non-whistle-blowing** situation involves reporting or addressing issues within a company that do not involve illegal, unethical, or dangerous activities. Instead, these situations typically relate to routine complaints, disagreements, or suggestions for improvement that can be resolved through standard company procedures.



4.3 Whistle Blowing and Corporate Accountability

- Example of **non-whistle-blowing** scenarios:

Scenarios	Description
Requesting a Change in Work Schedule	Emma works as a customer service representative at a retail company. Due to changes in her personal life, she needs to adjust her work schedule to accommodate her new responsibilities. Emma talks to her manager and submits a formal request to change her shift from evenings to mornings. Resolution The manager reviews Emma's request, checks for available morning shifts, and agrees to adjust her schedule. This is a routine matter handled through internal company policies. Why It's Not Whistle-Blowing: This situation involves a personal request related to work conditions, not the reporting of unethical or illegal activities.



4.3 Whistle Blowing and Corporate Accountability

- Example of **non-whistle-blowing** scenarios:

Scenarios	Description
Reporting a Broken Piece of Equipment	Carlos works in a warehouse where he notices that a forklift is malfunctioning. Concerned about safety, Carlos reports the broken equipment to his supervisor and the maintenance department to ensure it is repaired before it's used again. Resolution The maintenance team promptly repairs the forklift, and operations continue safely. The issue is addressed through standard procedures for equipment maintenance and safety. Why It's Not Whistle-Blowing: This situation involves a personal request related to work conditions, not the reporting of unethical or illegal activities.



4.3 Whistle Blowing and Corporate Accountability

- Example of **non-whistle-blowing** scenarios:

Scenarios	Description
Disputing a Payroll Error	Lena, an employee at a marketing firm, notices that her paycheck is lower than expected. She believes there was an error in calculating her overtime hours. Lena contacts the payroll department to discuss the discrepancy and provide evidence of the hours she worked. Resolution After reviewing the records, the payroll department realizes there was indeed an error and corrects Lena's paycheck in the next pay cycle. Why It's Not Whistle-Blowing Lena is addressing a payroll error that affects her personally, rather than reporting any illegal or unethical behavior by the company. This is a common issue handled internally without the need for external intervention.



4.3 Whistle Blowing and Corporate Accountability

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- **Corporate Accountability**- Corporate accountability means a company must take responsibility for everything it does, its decisions, actions, and how they affect people like employees, customers, investors, and society. The company must also be honest and open about its performance.
- Key Principles of (CA)
 - **Transparency** – Company must share correct and clear information.
Example : A company publishes its real financial reports instead of hiding losses or fake profits.
 - **Responsibility** – Companies must accept the results of their decision.
Example : If a product is defective, the company recalls it and apologizes instead of blaming customers.



4.3 Whistle Blowing and Corporate Accountability

● Key Principles of (CA)

- **Compliance** – Company must obey laws and ethical standards.
Example : An IT company follows data protection laws like PDPA when handling user information.
- **Stakeholder Protection** – Companies must protect employees, customers, investors, and the public.
Example : A factory ensures worker safety by providing protective equipment and safe working conditions.
- **Board Oversight** – Company leaders must check that management is doing the right thing.
Example : The board investigates if managers are involved in fraud or unethical behavior.



4.4 Employer's responsibilities to whistle blowing

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- The best practice for an employer is to **create an inclusive, clear, and healthy working atmosphere** where staff feel secure speaking up.
- While the legislation would not mandate companies to have a whistle-blowing program in effect, having it demonstrates an employer's willingness to listen to employees' complaints.

4.4 Employer's responsibilities to whistle blowing

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- Through **establishing transparent rules and practices for coping with whistleblowers**, an organisation shows that it values knowledge brought to management's notice.
- Staff are often the first to recognize some form of fraud within a corporation. Workers' findings can deter corruption, which could harm an organization's credibility and/ or results, as well as save people from harm or death.

4.4 Employer's responsibilities to whistle blowing

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- When an organization does not have a transparent and inclusive atmosphere, a worker will be reluctant to make a report for fear of repercussions.
- The fear of retribution as a result of making a leak, as well as the assumption that no action can be taken if they do wish to “blow the whistle,” are the two key obstacles that whistle blowers encounter.



4.5 Information and Communications Technology Code of Conduct

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- **Code of conduct** : a set of rules and guides that outline the expectations of an individual, party or organization.
- **IT code of conduct** : generally refers to how technologies such as computers and the Internet are to be used.



4.5 Information and Communications Technology Code of Conduct

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- An ICT Code of Conduct outlines the ethical and responsible use of technology within an organisation.
- ICT code of conduct provides guidelines, policies, security, ethical and efficient use of IT infrastructure of organisation.



4.5 Information and Communications Technology Code of Conduct

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Example of ICT code of conduct:

1. Information and Communications Technology (ICT) Community performs business in a **fair and honest manner** in line with best business practices.
2. ICT **complies with the laws and regulations** of the countries in which it operates, including relevant legal standards for employee, third-party, and environmental health and safety.
3. **Data security** - Protect sensitive and confidential information from unauthorized access. Use strong passwords and do not share login credentials with others. Report any security breaches or vulnerabilities immediately.



4.5 Information and Communications Technology Code of Conduct

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4. **Integrity:** Use ICT resources with respect for others and the organization. Do not engage in any form of harassment, bullying, or discrimination through digital means. Respect the privacy and confidentiality of others.
5. **Usage:** Use ICT resources (computers, internet, email, software) only for authorized purposes. Do not access, modify, or disclose any data without proper authorization. Refrain from using organizational resources for personal gain or illegal activities.
6. **Software and Licensing:** Use only licensed software and adhere to software licensing agreements. Do not install or use unauthorized software on organizational devices.



4.5 Information and Communications Technology Code of Conduct

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- 7. Monitoring and Compliance:** Be aware that the organization may monitor the use of ICT resources to ensure compliance with the Code of Conduct. Users are responsible for understanding and complying with all relevant laws and organizational policies.



4.6 Green Procurement Policy

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- **Green Procurement** - refer to selecting **IT hardware, software, and digital services** that reduce environmental harm across their entire lifecycle including production, energy use, maintenance, and disposal. It ensures organisations make ethical purchasing decisions that reduce the environmental impact of technology use.

Example: A company chooses **energy-efficient laptops and cloud computing services powered by renewable energy** instead of high-energy local servers.



4.6 Green Procurement Policy

● Key Principles of (GPP)

- **Environmental Sustainability** – Choose IT systems that consume less energy and produce less carbon emissions.
Example : Using laptops with low-power processors instead of high-energy desktops.
- **Life Cycle Thinking** – Companies must consider environmental impact from manufacturing , usage, disposal, recycling.
Example : Old computers are sent for certified e-waste recycling instead of being dumped.
- **Ethical Supplier Selection** – Company chooses IT vendors who follow ethical manufacturing practices
Example : Buying devices from companies that avoid conflict minerals in hardware production.



4.6 Green Procurement Policy

- Key Principles of (GPP)

- **Energy & Resource Efficiency** – Reduce electricity, cooling and computing resources usages.

Example : Companies using virtualization technology to reduce the number of physical servers needed.

- **Regulatory & Ethical Compliance** – Company should follow environmental and IT governance standards.

Example : Company is complying with ISO 14001 (Environmental management) and organizational IT ethics Policies.



Question?

"Ethics is knowing the difference between what you have a right to do and what is right to do." - Potter Stewart



Disclaimer:

The slide content has been sourced from the following reference books and Internet resources. Refer to the following list for more details and further reading:

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2. <https://www.dataguidance.com>
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10. ISO 20400:2017 Sustainable Procurement Guidelines.
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